

First of all, a three- to five-year-old car shouldn't be breaking down, and dealers usually include no-cost warranties on the mechanical parts that make the car go. You can also upgrade to a warranty for the tech stuff so you don't have to worry about it. So, think about what you really need if your car is in an accident or does break down for some reason. Is it worth \$200 per month? At the time of this writing, a Premier AAA membership costs less than \$200 a year for two people and gets you two hundred miles of towing, free fuel delivery, battery jump-start/boosts, mobile battery service, vehicle locksmith up to \$150, extrication/winching (if you get stuck in a ditch or inclement weather), flat tire replacement, on-site repairs, and even bicycle roadside assistance. A dealer will rarely if ever do any of this, regardless of whether the car is new or leased. And most lease agreements only cover repairs under factory warranty and will still require you to pay for excess wear and tear. If that's what you're concerned about, you can still find many three-year-old used cars with mileage low enough to be within bumper-to-bumper warranty for at least the first couple months, not to mention additional warranties offered on certified pre-owned cars.

Another big barrier for some people who choose to lease or buy new is safety and reliability. It's a concern for those of us who buy used as well. Cars usually depreciate anywhere from 15 percent to 20 percent in the first year. So even buying a one- or two-year-old car will get you most of the latest safety and efficiency features while saving you money. After five years cars fall to around 40 percent of the original price. For us, that's the sweet spot we like to buy in, anywhere from three to five years old with 10,000 to 14,000 miles per year. People also tend to buy like they're going to own the car forever. Even if that's what you hope to do, buy with resale in mind so you can identify better deals. For instance, if car A costs \$2,000 more than car B, B obviously saves you \$2,000 immediately. Before you buy, check what both cars will be worth in seven to ten years. If car A is a more reliable brand, it may be reselling for \$2,500 more than B, making car A the better deal long term (by potentially \$500).

Before you buy a used car, check out sites like CarComplaints.com to see the most common complaints for every vehicle make, model, and year. And find a free car depreciation calculator online to compare the resale values of any vehicles you're interested in.

Just as important as the price and quality of the vehicle is to be cautious of where you buy your vehicle. Dealerships have gotten a lot better about